



CO-OPERATIVE BANK OF KENYA LTD

GROUP FINANCIAL RESULTS ANALYST BRIEFING

Q2 2017

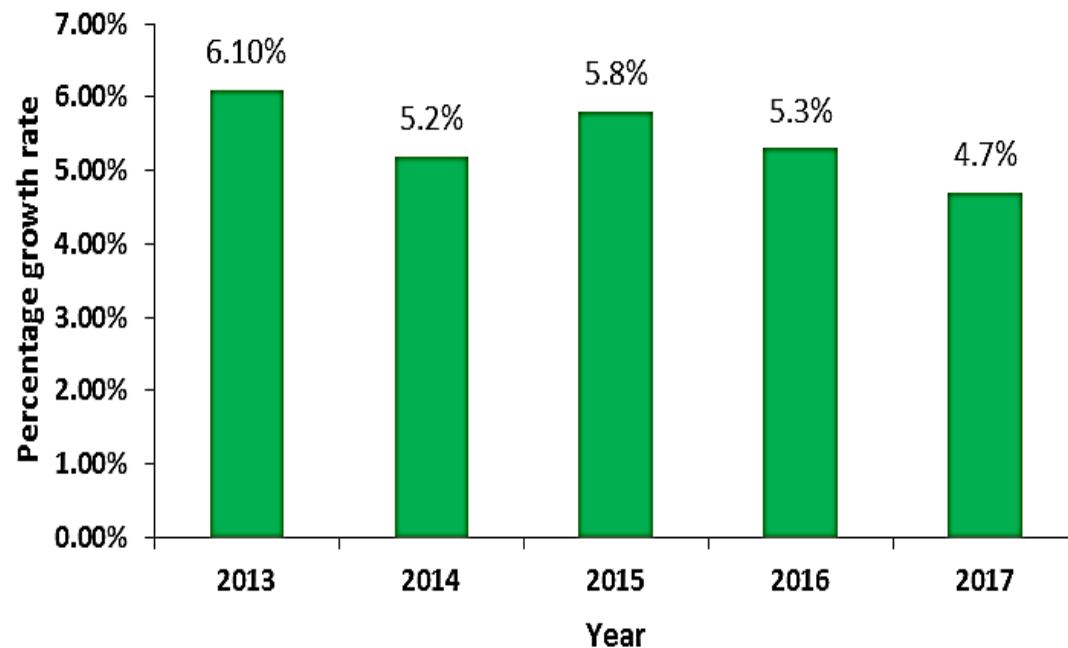
18th August 2017

A world map with a light green color scheme, showing the outlines of continents and countries. The map is centered on the Atlantic Ocean, with North and South America on the left and Europe, Africa, and Australia on the right.

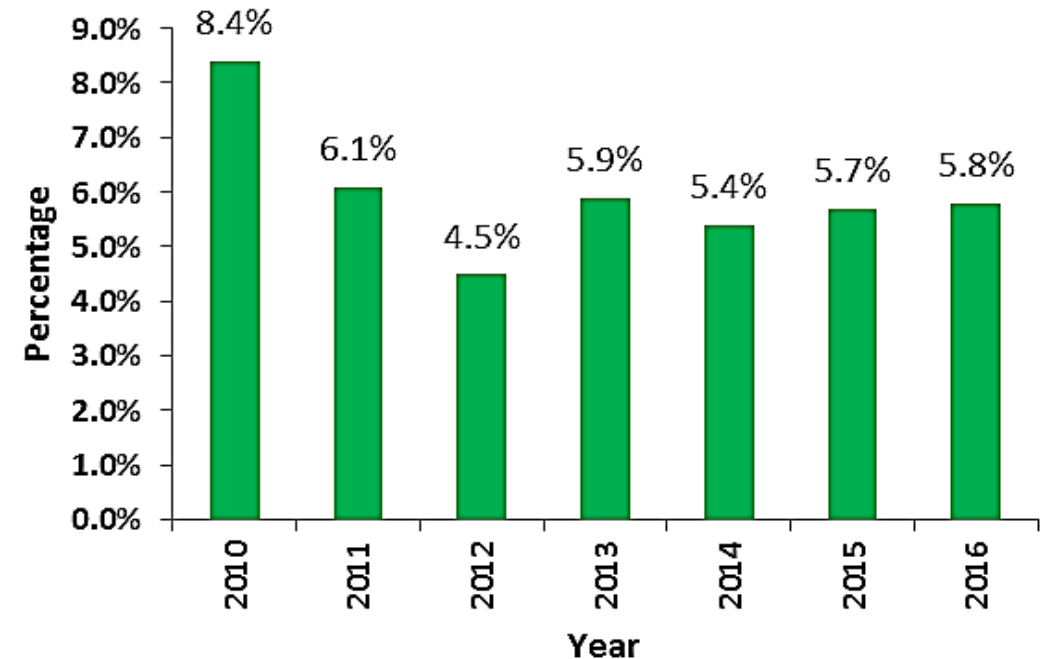
Macro Economic Update

- ❖ Kenya's Q1 GDP growth rate remained relatively resilient in the face a drought, slow down due to the 2017 general elections and reduced private sector credit uptake.

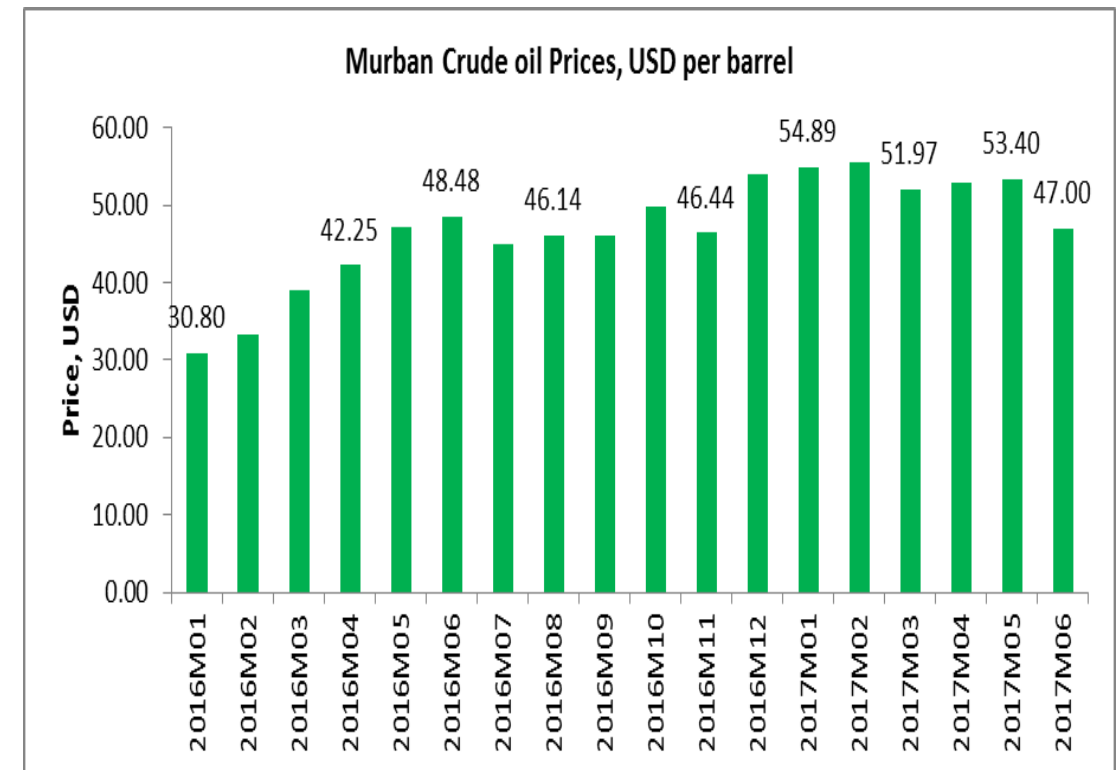
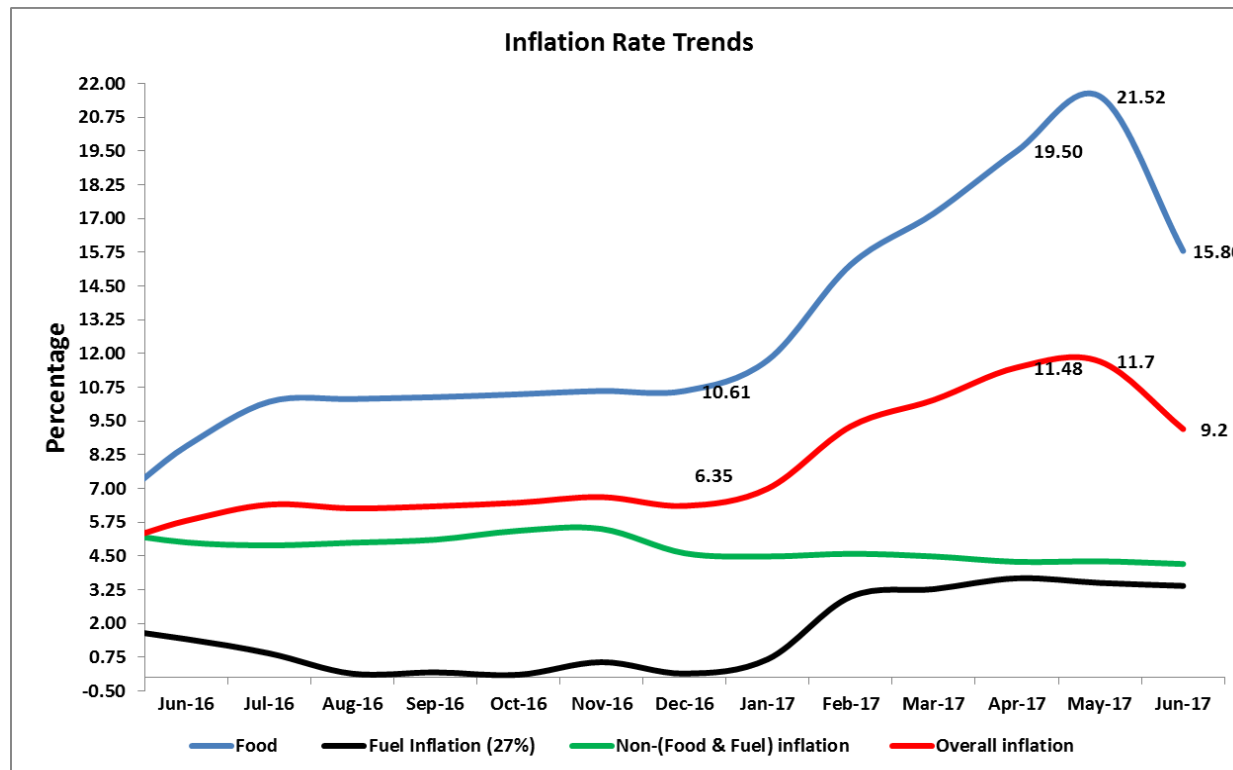
Quarter 1 Real GDP Growth Rate



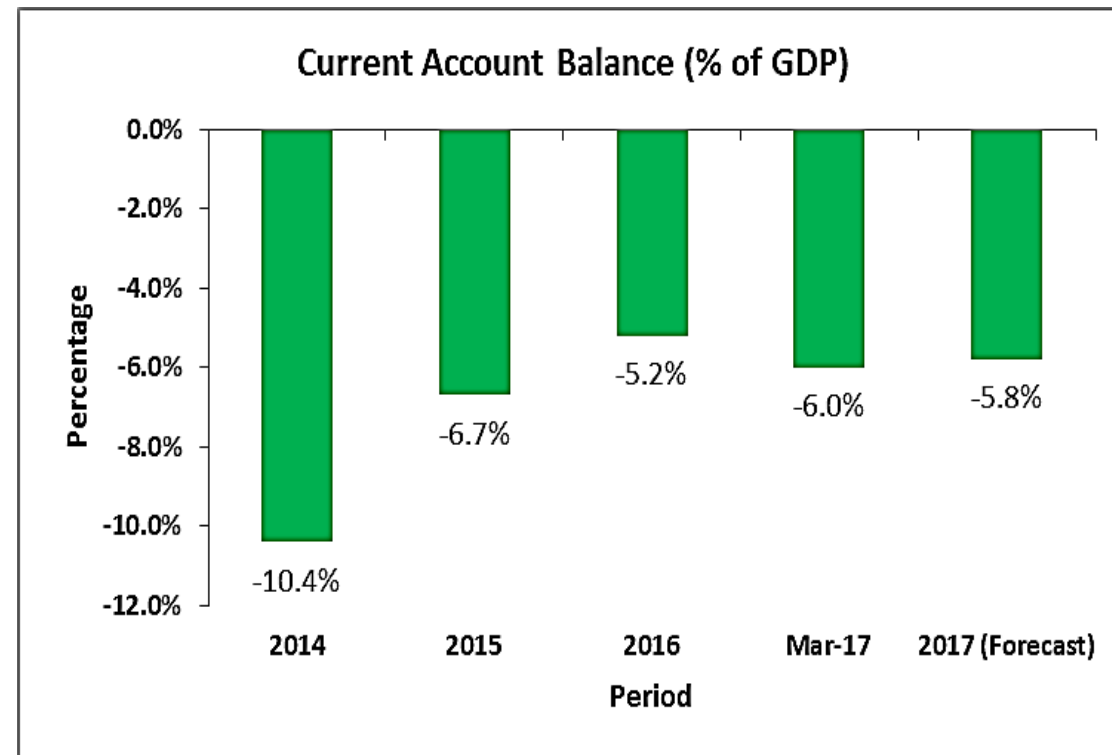
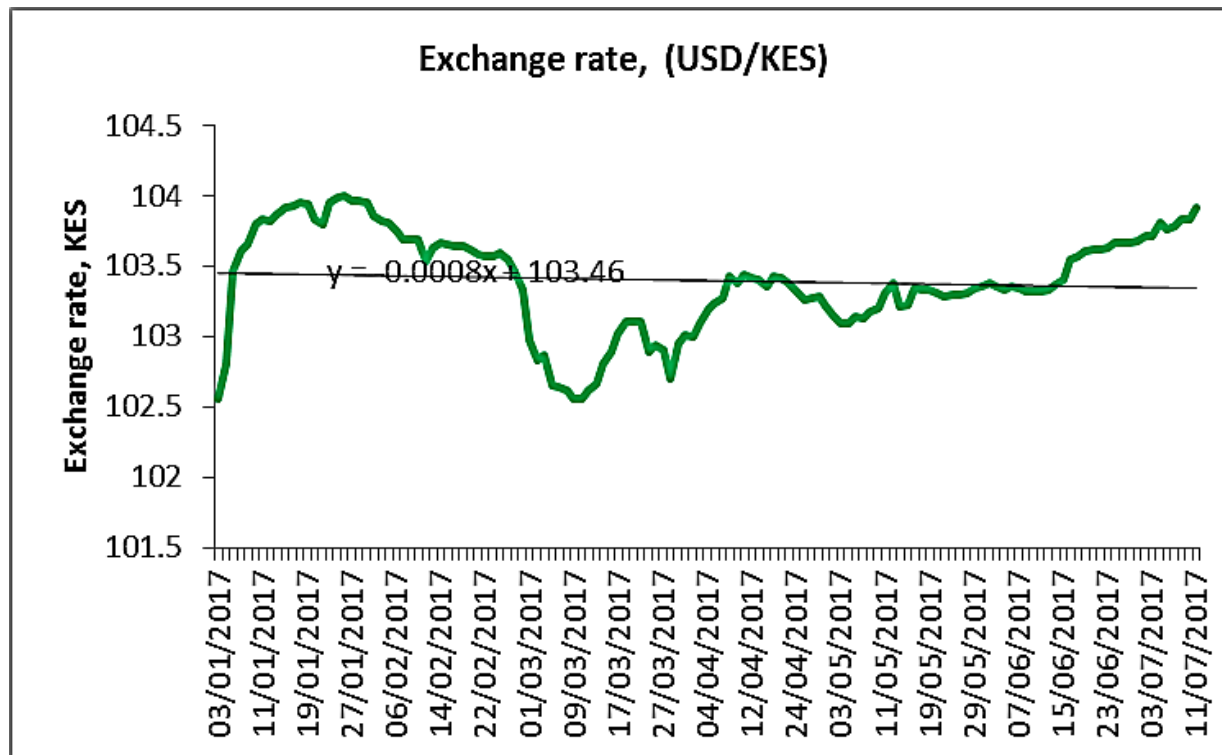
Annual Real GDP Growth Rate



- ❖ Overall inflation has started falling as earlier projected from a high of 11.7% in May to 9.2% in June.
- ❖ Food inflation has fallen from 21.5% in May to 15.8% in June driven by lower vegetable and maize flour prices.
- ❖ Looking ahead, we expect overall inflation rate to take a gradual fall due to reduced pressure from sugar and maize prices, stable oil price and stable money supply growth.

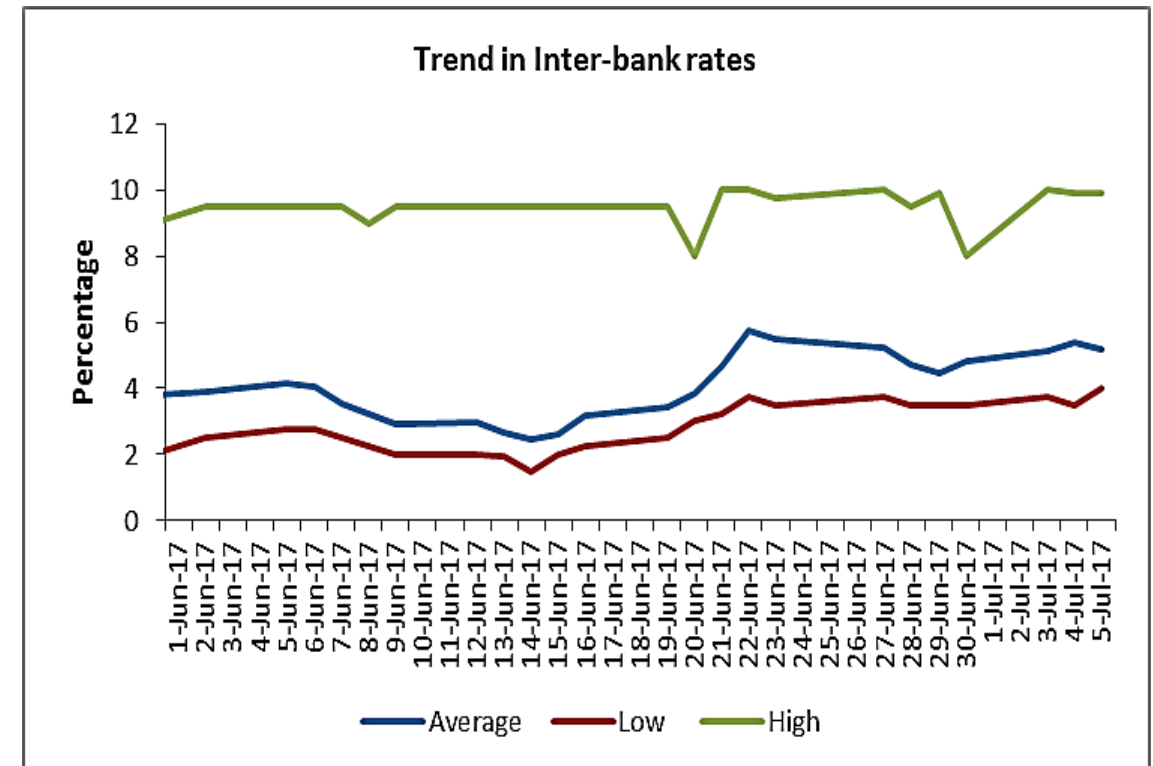
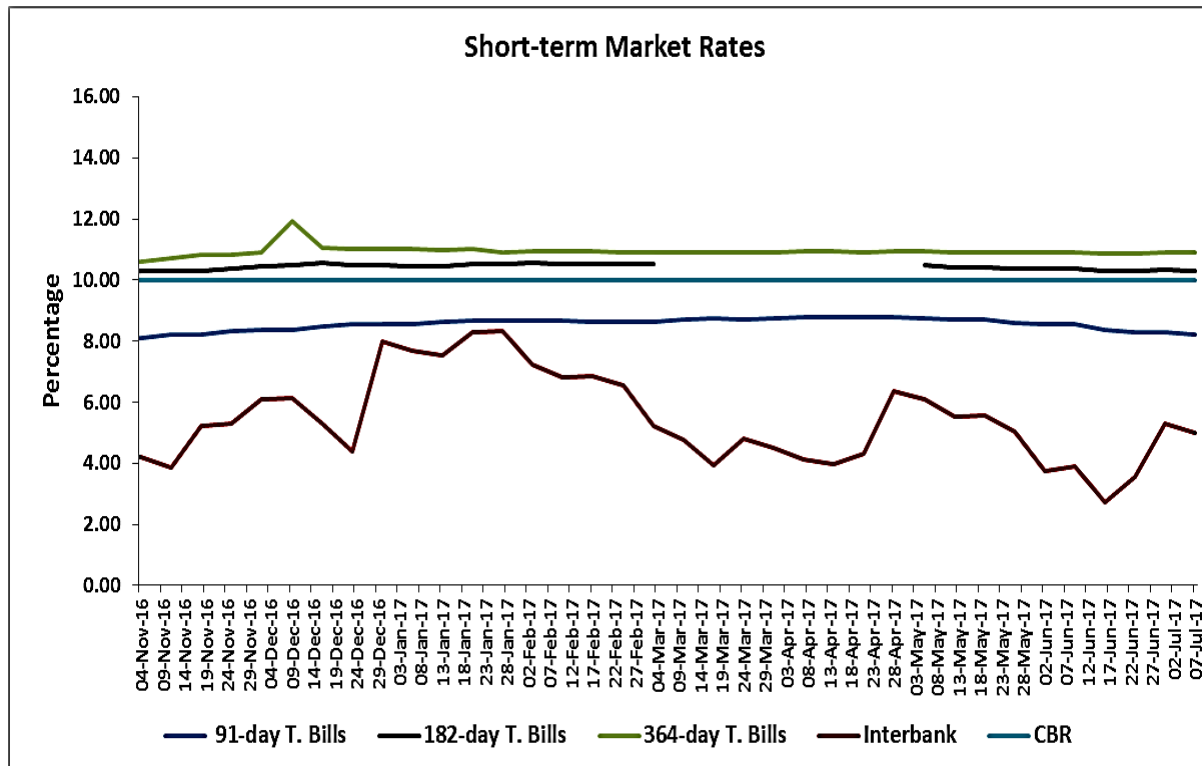


- ❖ The KES has remained relatively stable in Q2 in a range of KES 103.5 to KES 103.9
- ❖ The KES was however volatile at the end of June and in July due to demand from cereal and sugar importers, import of transport equipment and precautionary purchases before the general elections.
- ❖ The current account deficit is projected to only deteriorate slightly from 5.2% in 2016 to 5.8% indicating low pressure on the currency from the import bill. CBK has been active in the exchange rate market in June by selling USD.



Macro Economic Update: Interest Rates

- ❖ Interest rates have remained fairly unchanged in Q2 and in the 1H2017.
- ❖ CBR has been held at 10%, and thus maximum commercial banks lending rate at 14%. However, overall lending rate has averaged at 13.6%
- ❖ The average inter-bank rate has remained relatively stable. However, the spread between the lowest and highest rate has remained high, indicating high risk priced on the small banks.



A Successful Universal Banking Model

Co-operatives Banking

Large Saccos
Housing Saccos
Agri Business
PSV/ Transport Saccos
Investment Saccos

Retail Banking

Micro Credit
Small Medium Enterprises (SME)
Personal Banking (mass & affluent)
Diaspora Banking
Banking the youth (Yea & Jumbo Junior)
Asset Finance

Corporate & Institutional Banking

Corporate banking
Government Banking
Institutional Banking
Structured, Trade & Commodity Finance
NGO's
Treasury

Subsidiaries

Co-operative Bank of South Sudan
Co-op Consultancy & Insurance Agency
Co-op-Trust Investment services Ltd
Kingdom Securities Ltd

Associates

We own 26% of CIC Insurance
CIC Owns 31% of CIC Africa
CIC has a Presence in Uganda, Malawi & South Sudan

Foundation

Co-op Foundation; Supporting Bright, Needy students in all counties

Regional Expansion



Our channels

149 Branches

Mcoop cash mobile banking
(All telco, all products)

Co-op Kwa Jirani-Over 8000 agents

Over 580 ATMs, leading debit card issuer

CoopNet- Internet Banking (Corporate & Retail)

24 Hour Contact Centre

Self service Kiosks in all our branches

Dedicated Diaspora Banking Department

560 FOSAs

Subsidiaries offering advisory and investment services

Social Media Banking

Our customers

Over 6.53 Million growing direct account holders

Over 3.33 Million Mcoop Cash Customers

Over 75,077 Internet banking Customers

Over 1,020,434 Saccolink Customers

Over 12,420 Diaspora Banking Customers

Over 1.1 million Facebook followers

Over 169,000 Twitter followers

Instagram followers, You Tube subscribers

Telegram self service customers

“Soaring Eagle” Transformation Project Update

Organization review and design by McKinsey & Co.

2014

Implementation and sustainability

2015

Implementation and sustainability

2016

IFC review on ‘Digital Bank’ & Business Banking

2017

1 Branch Transformation & Channel migration

2 Sales Force Effectiveness

3 Shared Services & Digitization ‘The Digital Bank’

4 NPL Management & Credit processes

5 Cost Management

6 Data Analytics

7 MSME Transformation

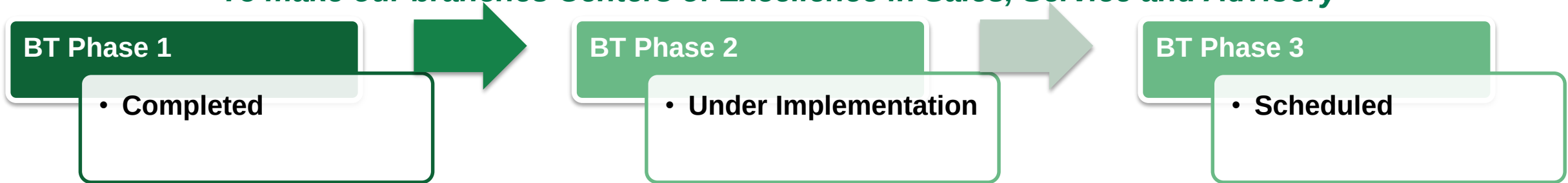
8 Staff Productivity

Key Achievements from Dec 2014;

- ✓ 8 minutes queue time from 52 Minutes
- ✓ 94% of transactions are now on alternative channels giving us an opportunity to turn our branches into sales, service and advisory centers
- ✓ FX to non funded income +33.6%
- ✓ Return on Average Assets +16.1%
- ✓ Return on Risk Weighted Assets +14.3%
- ✓ Return on Average Equity +8.5%
- ✓ Cost to income has improved from a high of 59% to 47.9%, an 18.8% improvement

Branch Transformation(BT 2.0.) and Channel Migration

“To make our branches Centers of Excellence in Sales, Service and Advisory”



Impact of initiatives

✓ Growth in Transactions 2Q2017- 2Q2016

- ✓ Mco-op Cash **+35%**
- ✓ Agency Banking **+30%**
- ✓ Internet Banking **+100%**
- ✓ Merchant Banking **+253%**

- ✓ Over **600,000** customers being served by our call center
- ✓ Business to Business (B2B) real time transactions have grown exponentially **+96%** from Q12017
- ✓ E-Flexi (Mobile loan) value has grown by **166%** for employed customers and **11%** for business customers
- ✓ Instant card issuance **+38%** from 1Q2017
- ✓ 8 Minutes Queue time

Benefits

- ✓ Gains achieved through migration and automation has freed up time for Tellers and Service champions
- ✓ The role of Teller and Service Champion has been merged into one : Sales and Service Advisors

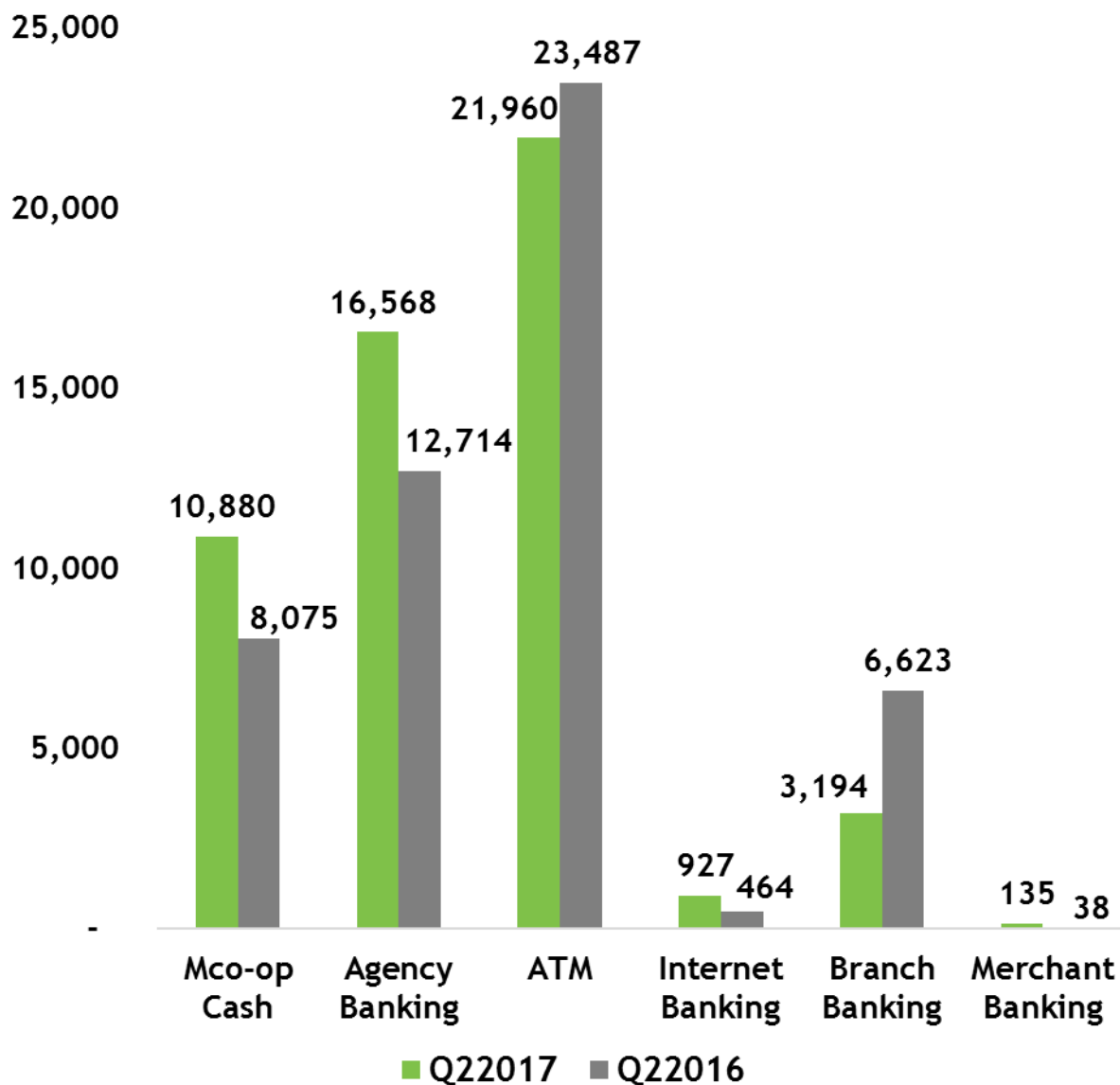
Key roles of the Sales and Service Advisors



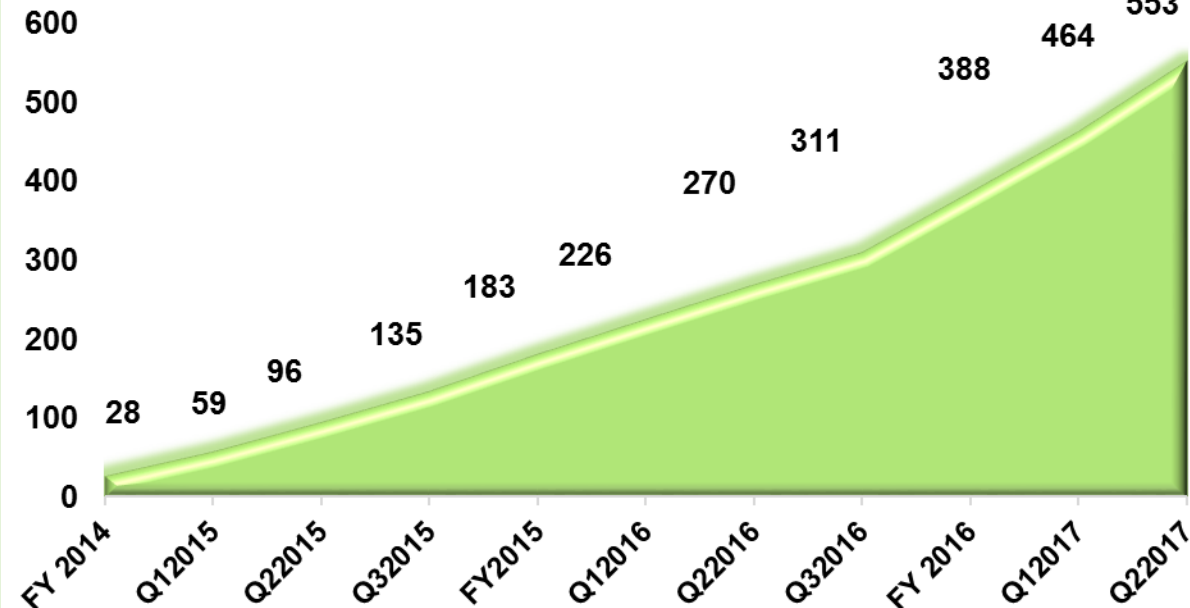
Branch Transformation and Channel Migration

Deepening Financial Inclusion with alternative channels

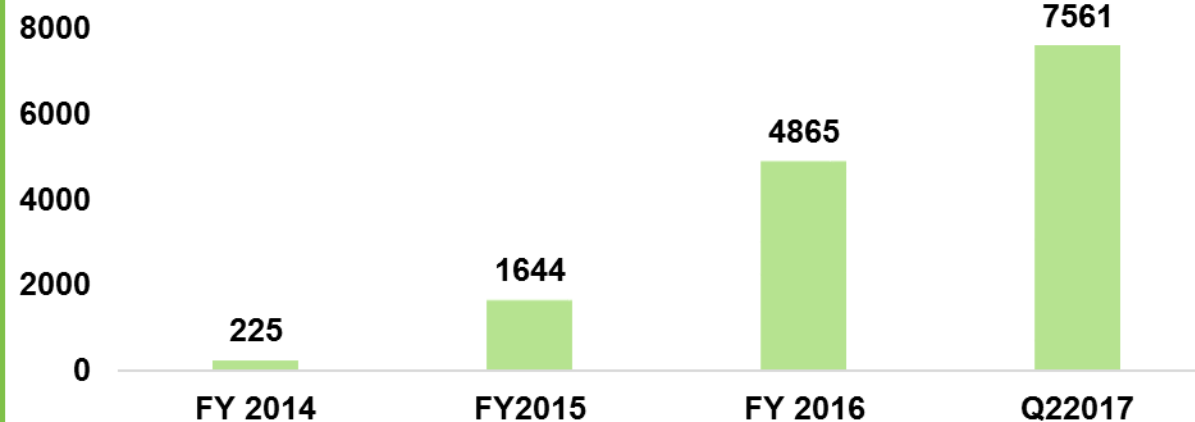
Channel Transactions '000'



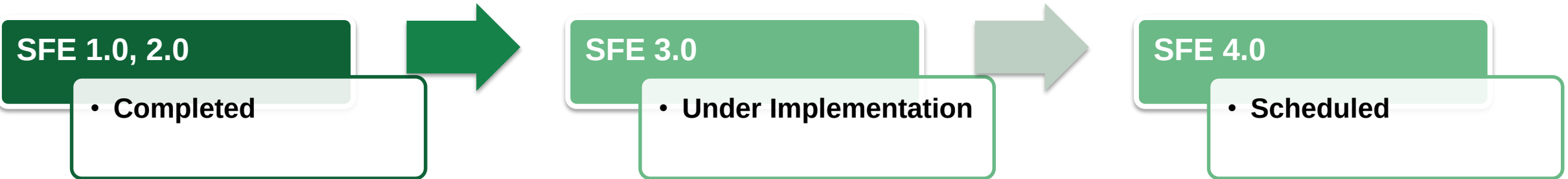
MCo-op Cash loan Book Numbers (In '000')



MCo-op Cash loan Book - In Millions



SFE is built around customer centricity; One Relationship manager, One client, with a comprehensive account plan, multiple products with multiple visits



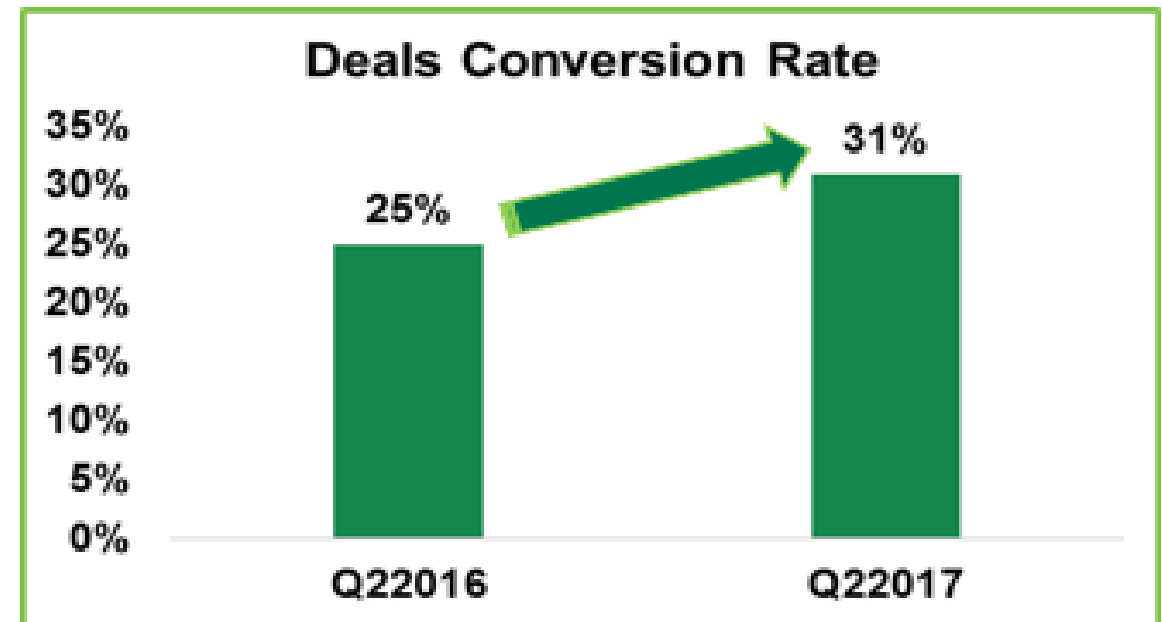
New Edge SFE 3.0

Milestones:

- ✓ Client prioritization and account planning
- ✓ Deal pipeline tracking
- ✓ Automated account plan reports
- ✓ Utilization of channels
- ✓ Performance rhythms for product houses

Themes:

Agile (In Conversion)
 Adjust (To the dynamic business environment)
 Advance (In comprehensiveness and collaboration)



To provide fast track technology enablers that will facilitate short term, medium term and strategic alignment to the Bank’s transformation project

Digital Transformation:

To take the Bank into new frontiers of digitalization

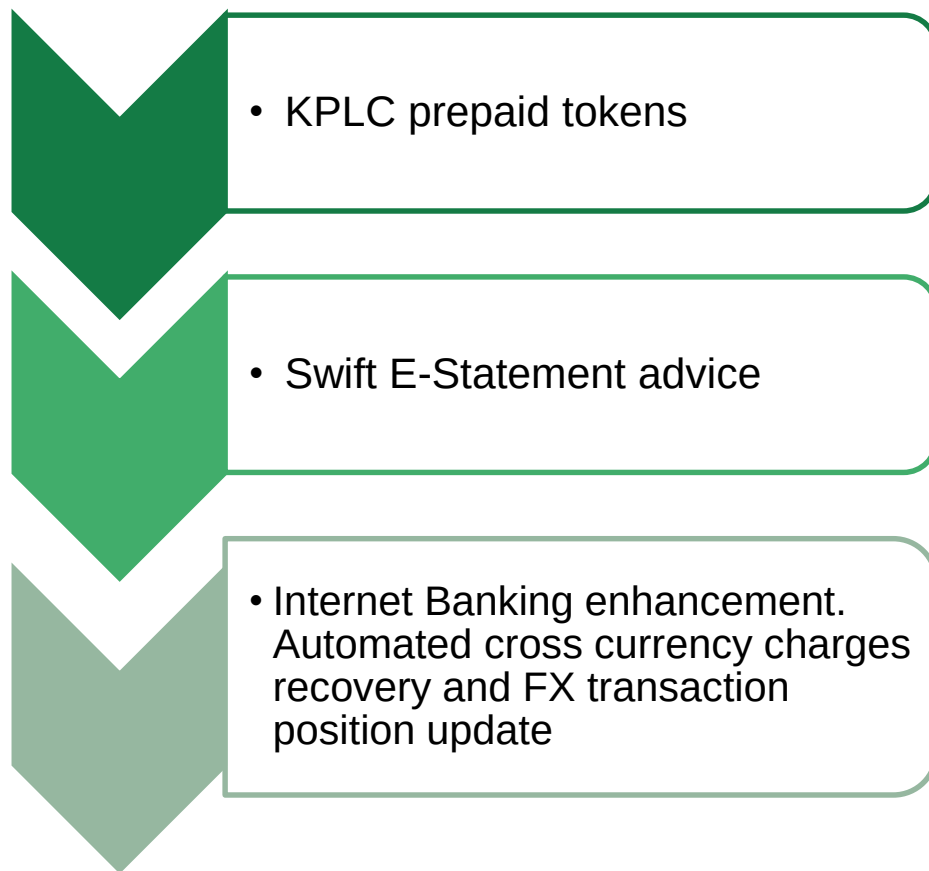
Completed

- ✓ Self discovery
- ✓ External diagnostics by IFC
- ✓ Approval by the Board

Under Implementation

- ✓ Key Priority projects (6 Months)

Key projects completed in Q22017



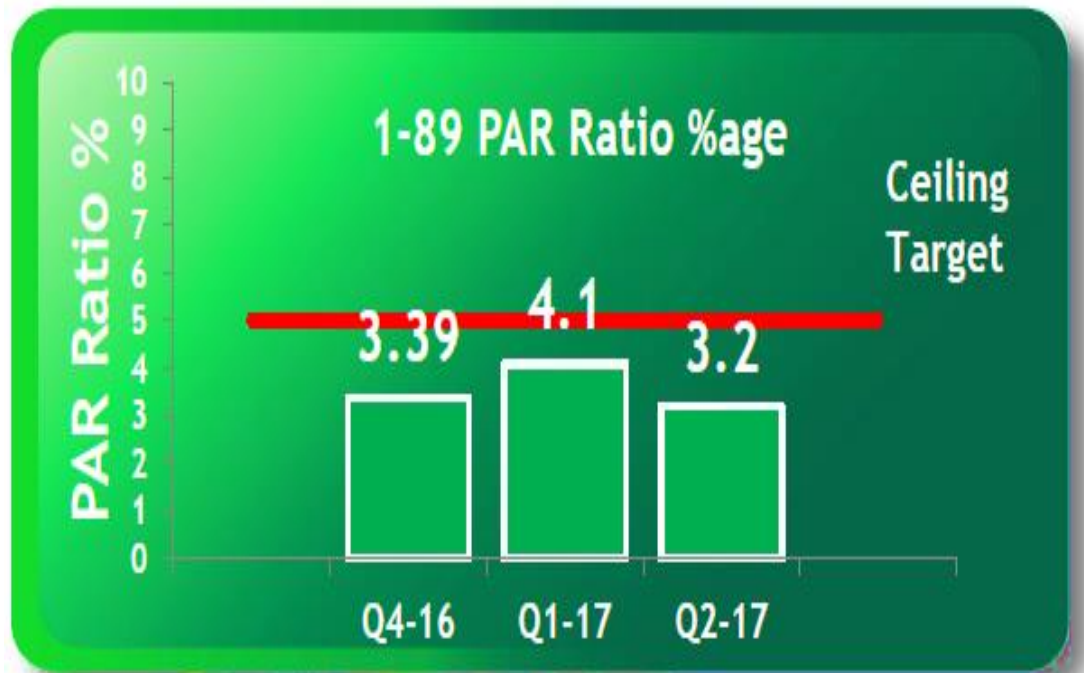
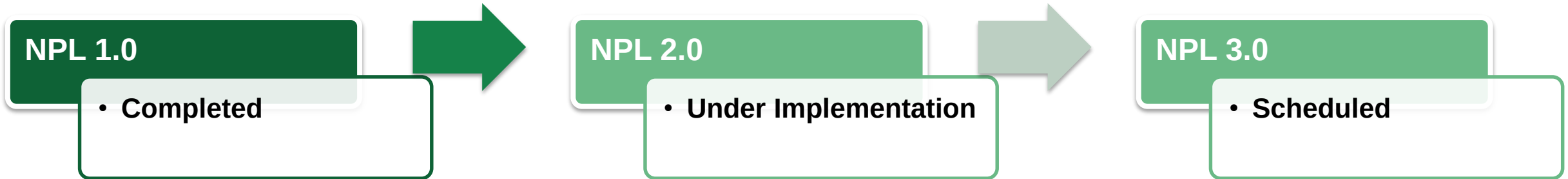
Successful implementation of the ERP project

Benefits;

- ✓ Efficiency
- ✓ Better management and control of resources
- ✓ Enhanced accountability
- ✓ Enhanced budgeting and cost management for each cost center
- ✓ Enhanced visibility on Bank commitments and expenditure

NPL management and Credit Processes (NPL 2.0)

- ✓ To ensure proactive credit management (Pre-delinquent, 1-89 days and 90+ days Book
- ✓ To ensure proactive review of credit processes in order to support business as well as maintain a quality book



1-89 book has been maintained below a ceiling target The PAR ratio stood at 3.2 % by end of June 2017. Collection for 90+ loans has improved by 74% compared to H1 2016 to H1 2017.

- ✓ Cash covered facilities being processed in a day: Improvement from 3 days
- ✓ Tracking of loan covenants and conditions is now automated

Data and analytic initiatives involve;

- ✓ Development of reports(use-cases)
- ✓ Data governance(Quality and ownership of data)
- ✓ Data architecture (New infrastructure to support analytics)



✓ To be the dominant bank in Kenya in MSME Segment

Key Initiatives;

- ✓ Credit Scoring
- ✓ SCF- Supply Chain Financing
- ✓ CVP- Customer Value Proposition Model
- ✓ Segmentation
- ✓ Credit Process Review
- ✓ Product Offering Review
- ✓ Non Financial Service (NFS) offering

6 Key Streams;



Progress;

Outbound Contact center

- ✓ Successful pilot in 2 branches

Sales referrals by service team

- ✓ Rolled out in all branches
- ✓ Included as a KPI in sales role

Leverage Agents for sales- Accounts & Banc Assurance

- ✓ Roll out done in 4 regions

Segmentation

- ✓ Business Banking segmented under MSME

Supply chain financing

- ✓ Pilot with 2 newly on-boarded customers

Achieving the Best with our People.

Facilitating success of our people. Inspiring leadership. Right culture. Driving high performance practices. Reward our best. Employee engagement. Workforce stabilization

- 1 Organizational Culture re-alignment program
- 2 High Performing Teams initiatives
- 3 Optimal Resourcing & Organization design initiatives
- 4 Total Rewards & EVP initiatives
- 5 Build High Impact learning & Strategic capabilities
- 6 Talent Agenda & Proactive retention initiatives
- 7 Employee Engagement & Wellbeing Initiatives
- 8 Transformation Agenda partnering initiatives

- ✓ Over 600 staff deployed as 60% sales and 40% service staff as **Sales and Service Advisors** - expected to release at least 20% productivity in the sales staff. This is a first in the market
- ✓ KPI alignment discussions and alignment with Divisional Heads done for all divisions and KPIs 'locked' for each quarter
- ✓ 84% of staff rated 'achieving' and 'exceeding' targets
- ✓ Staff Wellness program - on track for 100% scale up. Over 200 wellness champions trained by our partner AON in readiness for 100% scale up
- ✓ Mentorship programs for Bankers, Branch managers and Service Managers currently ongoing.
- ✓ Coaching & Feedback Framework developed and currently in operation for Coach Certification for leaders as well as >400 leaders trained on Coaching for Performance
- ✓ Tailored Transformation experiential support programs ongoing

Cost Management and Efficiency

	Q22017	Q22016	FY 2016	FY2015	FY - 2014
Cost to Income Ratio	47.9%	45.30%	52.1%	53.2%	59%

Key strategies;

- ✓ Implementation of the SAP Enterprise Resource Planning (ERP) solution
- ✓ Automation of the various key processes for costs optimization.
- ✓ Enhanced Expenditure Management Committee (EMC)
- ✓ Market price comparison every 3 to 6 months
- ✓ Prequalification of suppliers every 6 months
- ✓ Renegotiated contracts with vendors especially systems

LONG TERM FUNDING (Kshs. Million)

DEVELOPMENT PARTNER	2Q2017	2Q2016	PURPOSE
IFAD	30.00	30.00	To finance the Eastern Province Horticultural and Traditional Food crops project
EUROPEAN INVESTMENT BANK	1,628.92	2,713.25	To fund SMEs
AFD	3,826.60	3,375.63	To fund energy efficient and renewable energy projects
INTERNATIONAL FINANCE CORPORATION(IFC)	13,674.50	4,399.88	To fund SME's and agribusiness, construction and mortgage segments
D.E.G -(K.F.W)	3,799.26	4,764.25	To finance SME and Corporate customers
GOVERNMENT OF KENYA	-	62.50	Informal Sector Enterprises
TOTAL	22,959.27	15,345.51	





Moody's Investors Service (Moody's) assigned first-time B1/Not Prime global local-currency deposit ratings fully aligned with the B1 (Stable) rating of the Kenyan government.

On the Kenyan national scale, Moody's has assigned deposit ratings of Aa2.ke/KE-1 to Co-op Bank

Catalyst
Awards
2016



Recognising Catalytic Finance that Impacts Industry, Economy & Society

2ND Position:
Overall winner

2ND Position :
Best Practice in Sustainable Finance

1ST Position:
**Commercial Client Case Study
(Strathmore University Solar Energy Project)**

1ST Position:
MSME Case Study(Varomatech Enterprises)

The Award winning Brand!



2016 World Finance Awards

◆ Best Commercial Bank, Kenya

Banker Africa- East Africa Awards 2016

◆ The Best Socially Responsible Bank in East Africa

Banker Africa- East Africa Awards 2016

◆ The Best Retail Bank in Kenya



Utumishi Bora Awards 2016

Dr. Gideon Muriuki- was awarded the Grand Award,
Mtumishi Bora 2016

The awards held by Kenya Christian Professional Forum promotes effective implementation of chapter 6(Leadership & Integrity) of the Constitution of Kenya

Championing Social Economic Empowerment



**CONSULTANCY &
INSURANCE AGENCY LTD**

- ✓ Capacity building for Cooperative Societies.
- ✓ Over 2,100 consultancy and advisory mandates carried out from inception
- ✓ 560 FOSA's to serve Sacco customers.
- ✓ FOSAs have further entrenched our financial deepening model
- ✓ 16 dedicated consultants



- ✓ Our social investment program vehicle
- ✓ Providing Education Scholarships for bright but needy students
- ✓ The foundation is fully funded by the bank
- ✓ Since inception of program in 2007 to date 5,119 students have been sponsored
- ✓ The bank awards scholarships per county and the rest are determined by the bank's regional Sacco delegates.



- ✓ Financing the SME and MCU sector
- ✓ Sustainable financing towards Vision 2030 and MDGs
- ✓ Staff CSR Involvement
- ✓ Corporate Social Responsibility: First Lady's Beyond Zero Campaign, Kenyatta National Hospital- Children Cancer Ward, Kenya Defense Forces games sponsorship, Kenya Diabetes Management and Information Centre, Kenya Psychological Association, National Police Service Athletics Bible Translation and Literacy Marathon, Wildlife Direct - Hands off our elephants





SOUTH SUDAN

- ✓ Currently operating 4 branches in Juba and 5 Non-oil collection centers. Owns 31% of CIC Africa Ltd- South Sudan
- ✓ The unique joint venture offers great opportunity for long-term sustainability of the business
- ✓ The subsidiary made marginal loss of Kshs. 0.006 Million in Q22017. This performance is due to the hyperinflation occasioned by currency devaluation however proactive strategies are in place to continue with offering financial inclusion while considering the most optimal risk uptake

New Business: Leasing



- ✓ Approval by regulator, Central Bank of Kenya, to enter into a leasing business joint venture with Super Group of South Africa.
- ✓ The joint venture will take advantage of key strengths by the two partners and focus on the emerging opportunities in leasing business with the bank providing a 6.5 million customer base and Super Group providing proven products, technology and the expertise on running a scalable leasing business.
- ✓ The joint venture comes at a time when there are significant market opportunities in the growing Kenyan economy and the region as hereunder;
 - Major infrastructure projects.
 - Government setting the pace with leasing (especially vehicles).
 - Exploration and mining activities including oil and gas.
 - Other sector demands including manufacturing, construction, transport, ICT among others.
- ✓ The joint venture will also leverage on the support of the Co-operative movement with over 14 Million customers and over 18,000 co-operative societies.
- ✓ The joint venture is being operationalized immediately.



- ✓ Listed on the Johannesburg Securities exchange
- ✓ Market capitalization of Ksh. 100.4B
- ✓ Operations in South Africa, Australia, New Zealand, Germany and United Kingdom.
- ✓ Provides world class fleet solutions to their global client base focusing on the containment of costs and operational risks associated with fleet ownership.

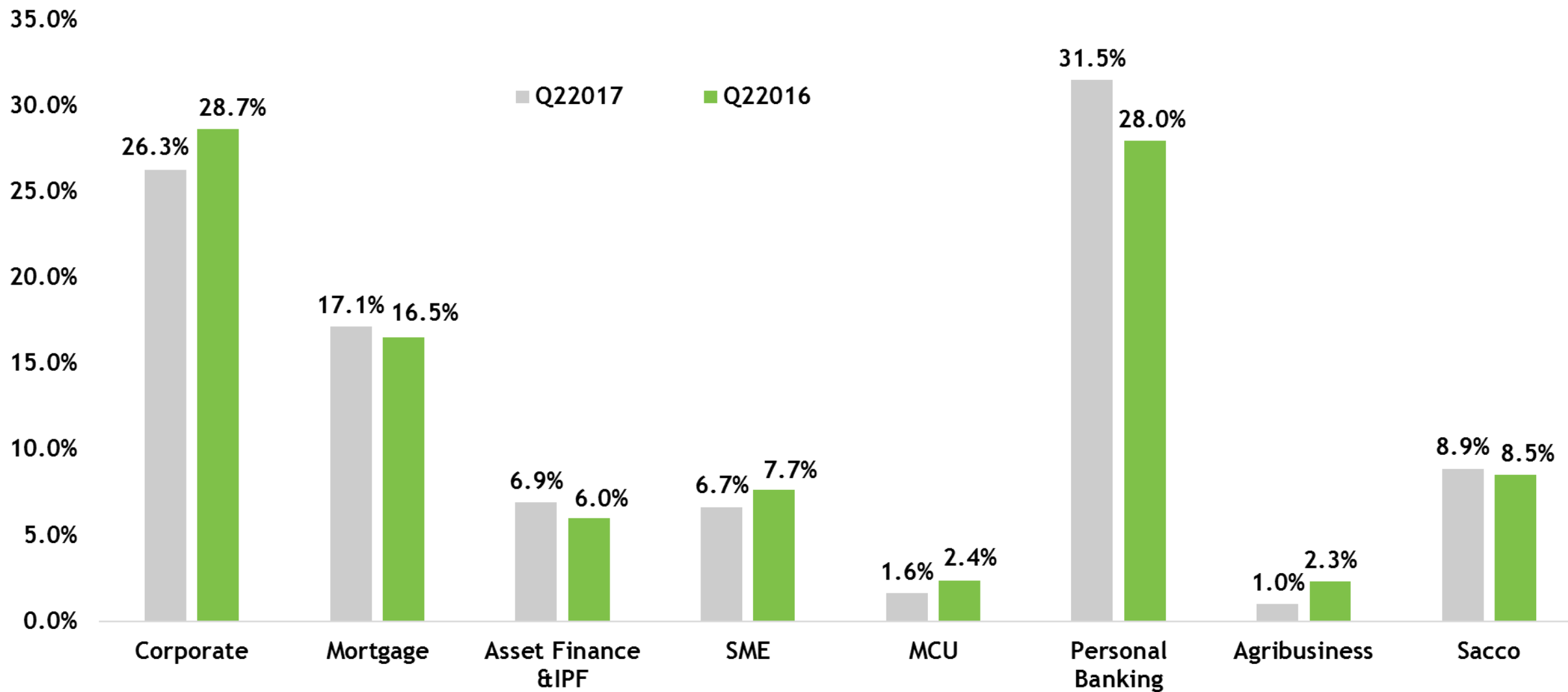
At 30 June 2017, Super Group had over 100,000 vehicles and trucks under management.

Key Financial Highlights

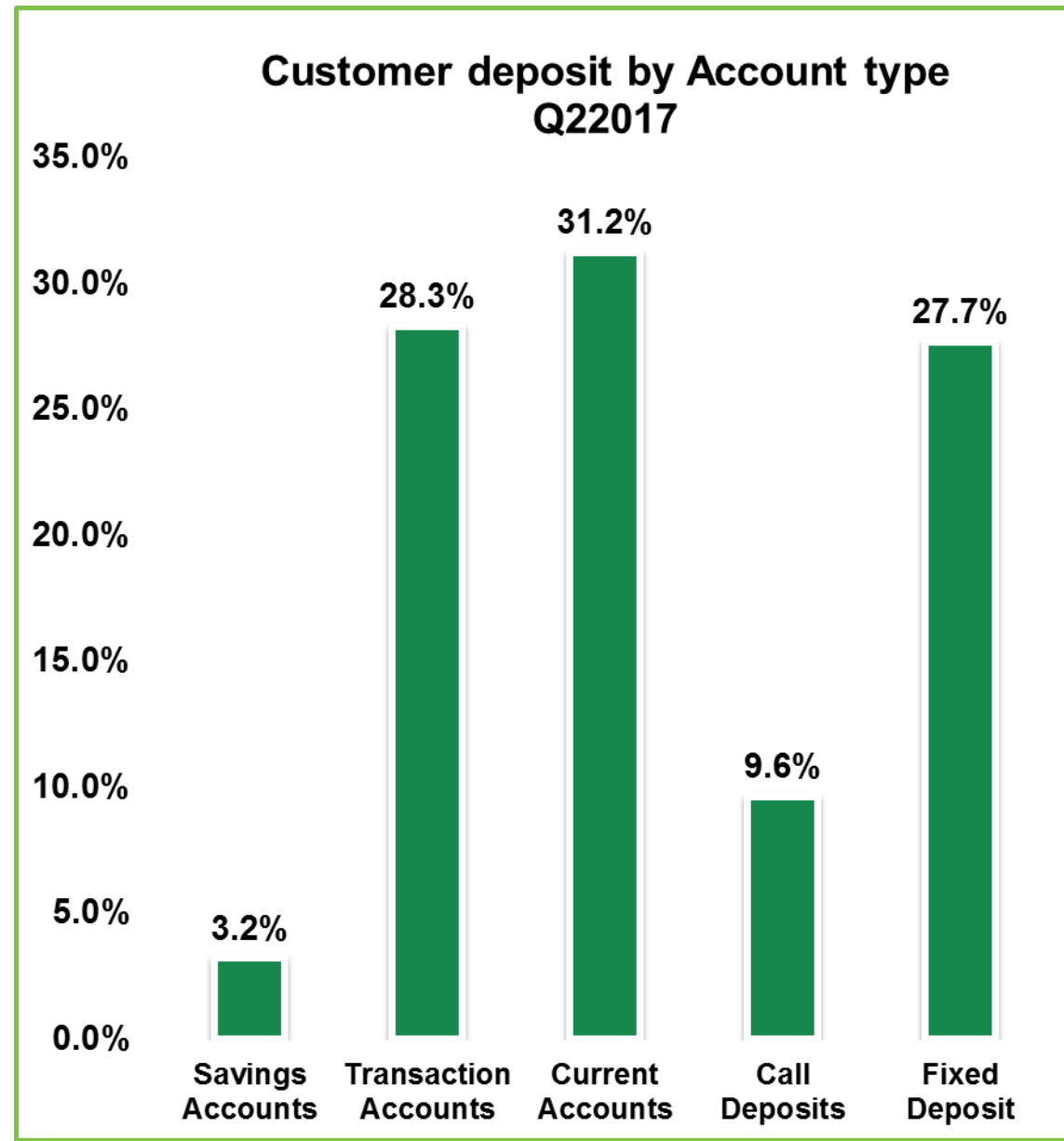
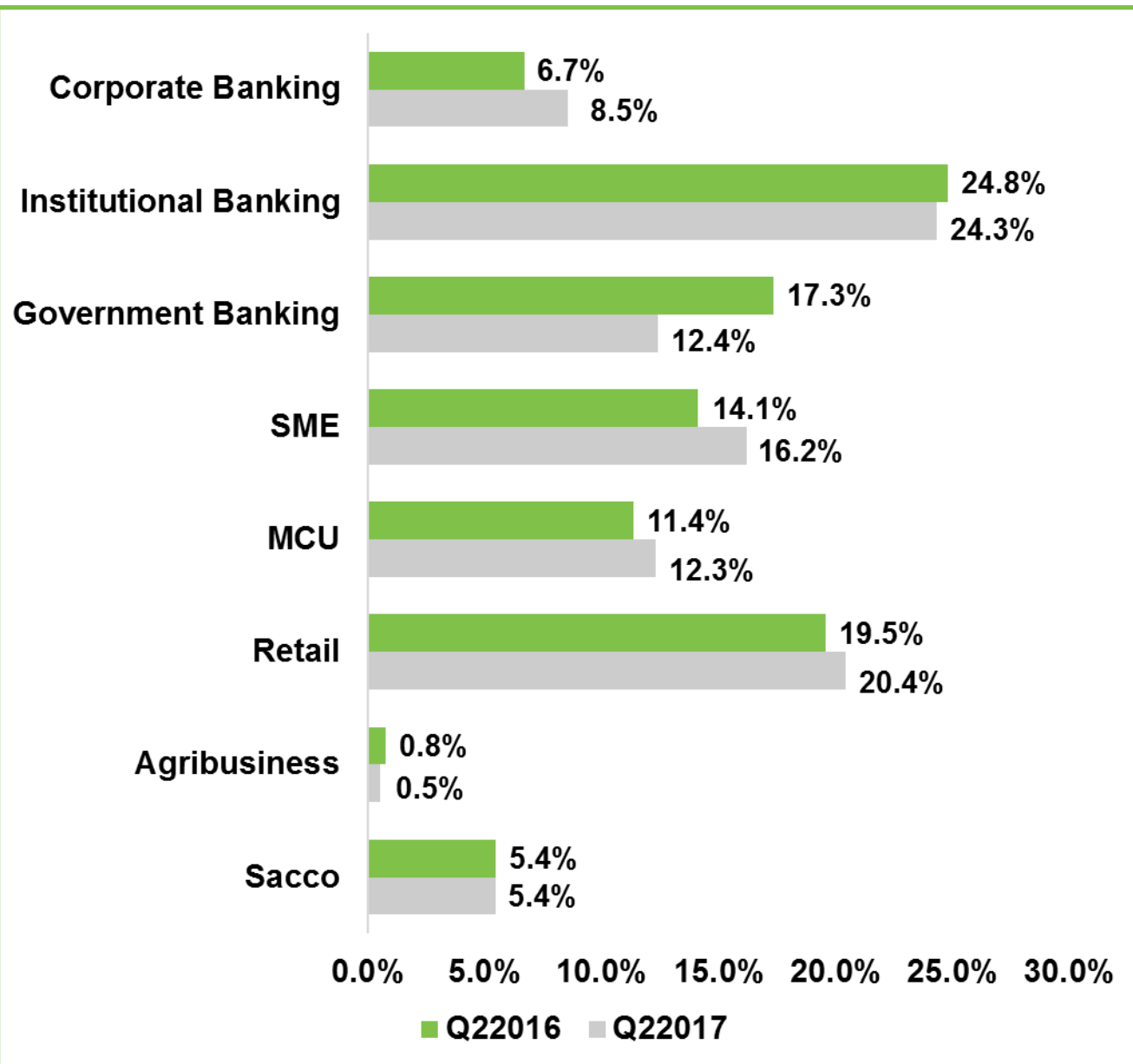


Kshs. Billions	Q22017	Q22016	% Change (YoY)		FY2016
Total Assets	383.3	363.0	5.6%		351.9
Loan book (Net)	252.6	221.3	14.2%		236.9
Government Securities	70.5	76.6	-7.9%		57.8
Total Deposits	287.2	279.6	2.7%		263.6
Borrowed Funds	24.3	14.8	64.6%		19.8
Shareholders Funds	64.5	57.9	11.3%		61.3
No. of account holders (Millions)	6.53	5.97	9.4%		6.22

A Soaring Bank - Loan Distribution

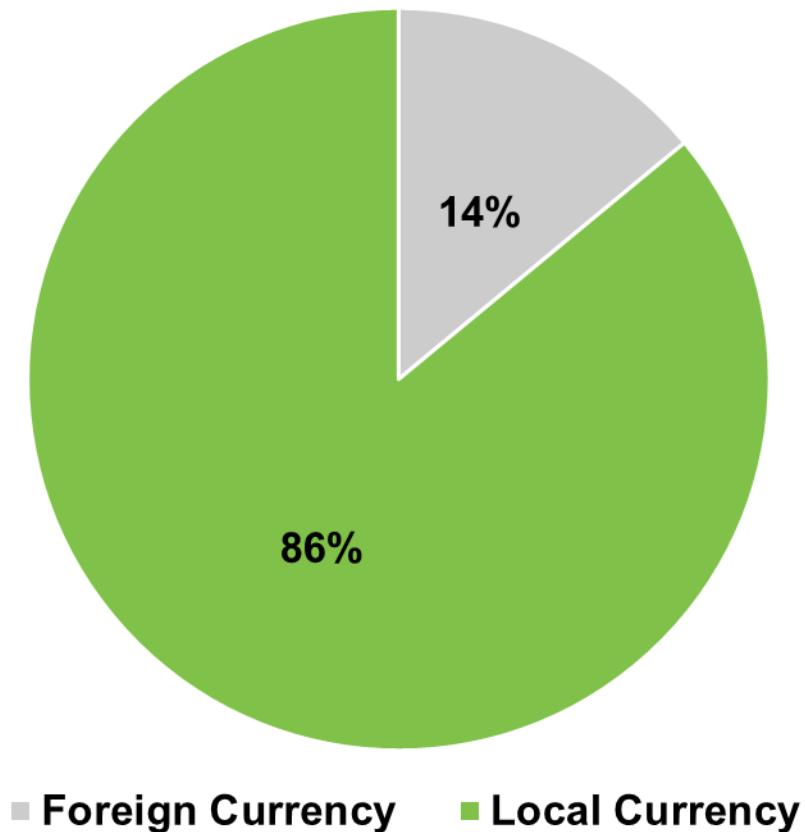


A Well-diversified Liability Portfolio

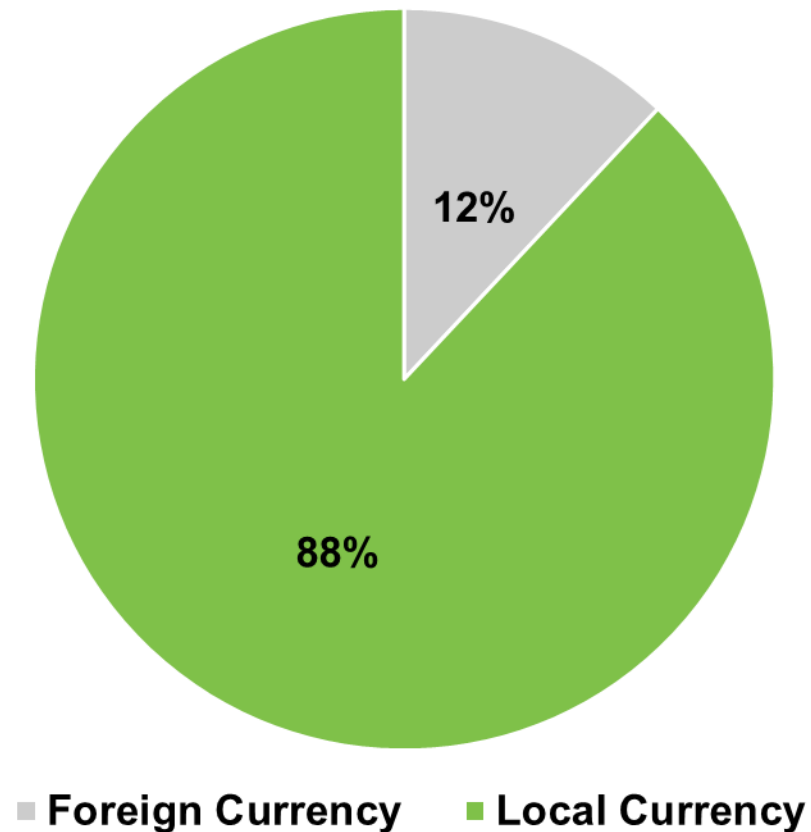


Lending & Funding balances by Currency

**Loan Book
(Local Vs Foreign Currency)
Q22017**



**Funding
(Local Vs Foreign Currency)
Q22017**



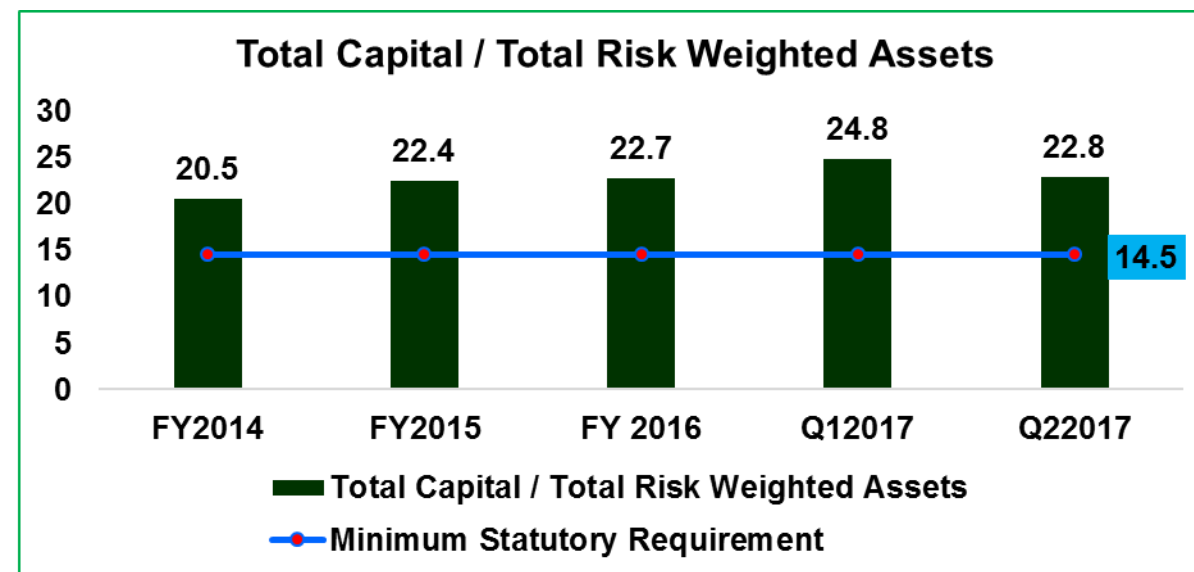
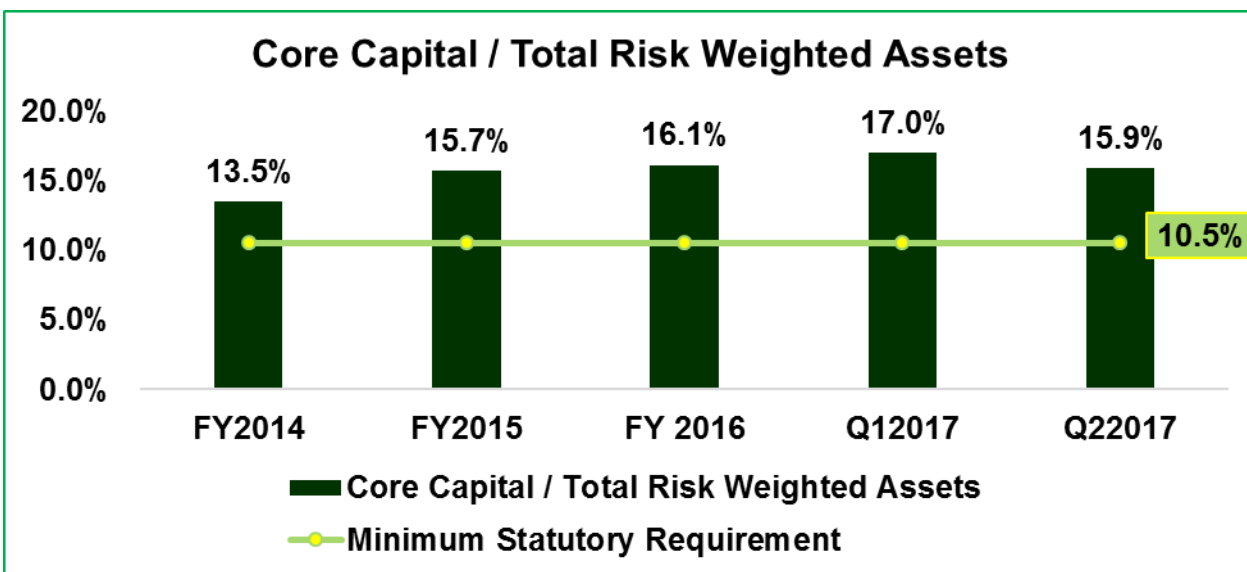
✓ Optimally balanced Kenya Shilling Loan book and Funding

Portfolio Trends (Ksh. Millions)

	Q22017	%	Q22016	%	FY2016	%
Normal	214,026	82.2%	199,036	88.1%	196,708	80.5%
Watch	34,110	13.1%	16,652	7.4%	36,475	14.9%
Substandard	7,924	3.0%	5,903	2.6%	5,857	2.4%
Doubtful	3,646	1.4%	3,675	1.6%	4,741	1.9%
Loss	653	0.3%	675	0.3%	675	0.3%
TOTAL	260,359	100.0%	225,942	100.0%	244,456	100.0%

Capital adequacy

	Q22017	Q22016	FY2016
Core Capital / Total Deposits (10.5%)	19.5%	16.9%	19.7%
Core Capital / Total Risk weighted Assets (10.5%)	15.9%	15.2%	16.1%
Total Capital / Total Risk Weighted Asset (14.5%)	22.8%	20.2%	22.7%
Coverage (Loan loss prov+int in sus /Gross NPL) -IFRS	39.9%	41.8%	38.1%
Coverage(Loss loan+int in sus+gen prov)/Gross NPL- CBK	68.1%	76.3%	65.4%
Liquidity (20%)	34.7%	41.0%	33.2%
NPL / Total Loans	4.5%	4.1%	4.3%
Loans to Deposits	88.0%	79.2%	89.9%
Loans to Deposits & Borrowed Fund	81.1%	75.2%	83.6%



Profitability

Kshs. Billions (except for EPS)	Q22017	Q22016	% Change (Y/Y)		FY2016
Interest Income	19.3	21.5	-10.3%	↓	42.3
Interest Expense	5.8	7.0	-16.7%	↓	12.8
Net Interest Income	13.4	14.5	-7.2%	↓	29.5
Fees & Commissions	5.3	5.0	6.1%	↑	9.8
Forex Income	1.2	1.0	28.3%	↑	1.8
Other Income	0.6	0.9	-34.7%	↓	1.2
Total Operating Income	20.5	21.3	-3.7%	↓	42.3
Loan Loss Provision	1.5	1.3	15.2%	↑	2.6
Staff Costs	4.7	4.3	8.7%	↑	9.4
Other Operating Expenses	5.1	5.3	-3.7%	↓	12.6
Profit Before Tax and Exceptional Items	9.2	10.3	-11.3%	↓	17.6
Exceptional Items	-	-	-	-	0.004
Share of profit of associate	0.1	0.1	-5.3%	↓	0.1
Profit Before Tax	9.3	10.4	-11.3%	↓	17.7
Tax	2.6	3.0	-13.3%	↓	5.0
Profit After Tax	6.6	7.4	-10.4%	↓	12.7
Basic EPS*	1.1	1.5	-25.4%	↓	2.6

* The drop in eps is as a result of dilution due to the Bonus Share Issue of one ordinary share for every five ordinary shares held

COMPANY	PROFIT BEFORE TAX 2Q2017	PROFIT BEFORE TAX 2Q2016	%
	KShs'000	KShs'000	KShs'000
The Co-operative Bank of Kenya Limited	8,926,677	10,186,316	-12.4%
Co-op Consultancy & Ins Agency Limited	233,322	115,612	101.8%
Co-op trust Investments Limited	19,529	21,879	-10.7%
Kingdom Securities Limited	(2,401)	(4,573)	-47.5%
Co-Operative Bank of South Sudan	(6)	29,223	-100.0%
Total PBT before eliminations	9,177,121	10,348,457	-11.3%
Add: Share of profit from associates	92,299	97,477	-5.3%
Group profit before tax	9,269,421	10,445,933	-11.3%
Income tax expense	2,632,009	3,035,849	-13.3%
Group profit after tax	6,637,412	7,410,084	-10.4%

Key Profit & Loss Ratios

	Q22017	Q22016	FY2016
Cost to Income(Excluding Provisions)	47.9%	45.3%	52.1%
Cost to Income (Including Provisions)	55.3%	51.4%	58.3%
Cost of funds	3.9%	5.0%	4.5%
Staff Cost to Total Income	23.0%	20.4%	22.2%
Debt to Equity	37.8%	25.5%	32.3%
Average Return on Equity	21.7%	28.2%	22.7%
Average Return on assets	3.6%	4.3%	3.7%
FX to Non Funded income	17.5%	14.2%	14.1%
Non - Funded to Total Income	34.6%	32.1%	30.2%
Net Interest Margin(loans)	9.0%	10.8%	10.5%
Net Interest Margin(Earning Assets)	8.1%	9.7%	9.8%
Effective Corporate Tax Rate	28.4%	29.1%	31.6%

- ✓ Cost to Income : With the ongoing transformation strategy the ratio is expected to continue improving
- ✓ NIM : Stable and in line with the bank's projections

2017 Financial Outlook

	<u>Actual</u> Q2 2017	<u>Projections</u> FY 2017
Profit Before Tax Growth	-11.3%	Flat growth
Loans & Advances Growth	14.2%	12%
Deposits Growth	2.7%	12%
Cost to Income Ratio	47.9%	50%
Non Funded to Total Income	34.6%	35%
Return On Average Equity (ROAE)	21.7%	20%
Return On Average Assets (ROAA)	3.6%	3.5%
Non Performing Loans (NPL)	4.5%	4.5%
Cost of funds	3.9%	4%
Net Interest Margin (NIM)	9.0%	9%
Cost of risk	1.3%	1.3%

Co-operative Bank will continue to show resilience in the Balance sheet and profitability growth.

The political environment is expected to improve with the just concluded August 8th General elections. This will have a positive impact on the economic environment and the Bank is well positioned to take the opportunities that will arise as the Government continues to carry out Vision 2030 projects in infrastructure, ICT, Energy Generation etc.

We will leverage on our strong balance sheet, a cost effective operating structure anchored on the ongoing 'Soaring Eagle' Transformation project and a highly motivated team.

Thank You



Talk to Us



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Other
Media

